We Solved This Problem Once. Then We Forgot

The Twenty-Five-Year-Old Lesson Behind Enterprise AI's ROI Crisis

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Excerpt from the full paper

We've Seen This Movie Before

Enterprise AI is underperforming expectations. Despite unprecedented investment in models, platforms, talent, and professional services, the anticipated productivity gains and cost reductions remain elusive for most organizations. MIT's 2025 research found that 95% of enterprise generative AI pilots failed to produce measurable financial returns. An IBM CEO study found that only 25% of AI initiatives deliver expected ROI. The standard explanations are familiar: the technology is immature, data isn't ready, regulation creates uncertainty. Each contains some truth. None is the primary problem.

The primary problem is organizational. It is the systematic capture of AI strategy, prioritization, vendor selection, and deployment by infrastructure-oriented technology departments—CIO organizations, enterprise IT, and their associated consulting ecosystems. This capture is not the result of malice or incompetence. It is the predictable consequence of an institutional dynamic that has played out before, with well-documented costs and a well-documented resolution.

The last time this happened, the technology was the World Wide Web.

The Web Wars

When the commercial web emerged in the mid-1990s, there was no playbook for organizational ownership. Marketing teams, product groups, and communications departments moved first because they could see the possibilities most clearly. They built early websites, experimented with interactive content, and iterated rapidly. The feedback loops were tight and the learning was genuine.

Then IT departments asserted control. The logic was reasonable: web infrastructure required servers, security, and integration with enterprise systems. But infrastructure governance expanded into areas far beyond infrastructure. IT began controlling timelines, dictating functionality, choosing vendors, and setting strategic priorities. The mechanism was straightforward: if you control the infrastructure, you control the deployment pipeline. If you control the deployment pipeline, you have effective veto power over what gets built, when, and how.

The organizations that performed best were those that established clear models in which business units owned web strategy and outcomes while IT provided enabling infrastructure. Marketing owned the brand experience. Product owned the functionality. IT made it all run reliably. The companies that recognized this pattern earliest gained years of competitive advantage. The companies that let it play out organically paid with lost time, lost customers, and lost revenue.

The AI Replay: Same Pattern, Higher Stakes

The same dynamic is now playing out with enterprise AI, accelerated and amplified. IT-led AI teams are choosing which business processes to automate and in what order. They are selecting vendors based on technical architecture preferences rather than business outcome fitness. They are authoring enterprise AI strategies with limited input from the business functions those strategies are meant to serve. In many organizations, AI teams embedded within IT pillars are not merely enabling business process changes—they are driving them directly.

The stakes are higher this time. The web was primarily a customer-facing channel. When IT captured web strategy, the damage was confined to marketing effectiveness and digital customer experience. AI touches internal business processes at every level—order-to-cash workflows, customer service operations, supply chain management, financial planning, HR operations. When infrastructure departments capture AI strategy, the domain creep extends into the operational core of the business. A bad web strategy lost customers. A bad AI strategy loses operational efficiency, employee productivity, and process integrity across the enterprise.

Speed, Safety, and the Missing Variable

Two dominant imperatives drive most enterprise AI programs: speed and safety. Executive leadership demands rapid AI adoption. Responsible AI teams demand careful risk management. Both are reasonable. The problem is that organizations treat speed and safety as proxies for a third variable they are not measuring: business value.

The “go fast” imperative creates incentives to demonstrate visible activity—vendor selections, platform deployments, headcount buildouts, pilot launches. The metric is velocity of deployment, not quality of business outcomes. The “be safe” imperative creates incentives to minimize risk, which produces governance processes that slow deployment without creating governance processes that verify value delivery. The result is a model that is effective at preventing bad AI outcomes and ineffective at producing good ones.

Speed, safety, and value are three distinct objectives. A Venn diagram of the three shows meaningful overlap in some regions and none in others. An AI deployment can be fast and safe and value-destroying. The current governance model optimizes for two of the three variables and assumes the third will follow. It doesn’t.

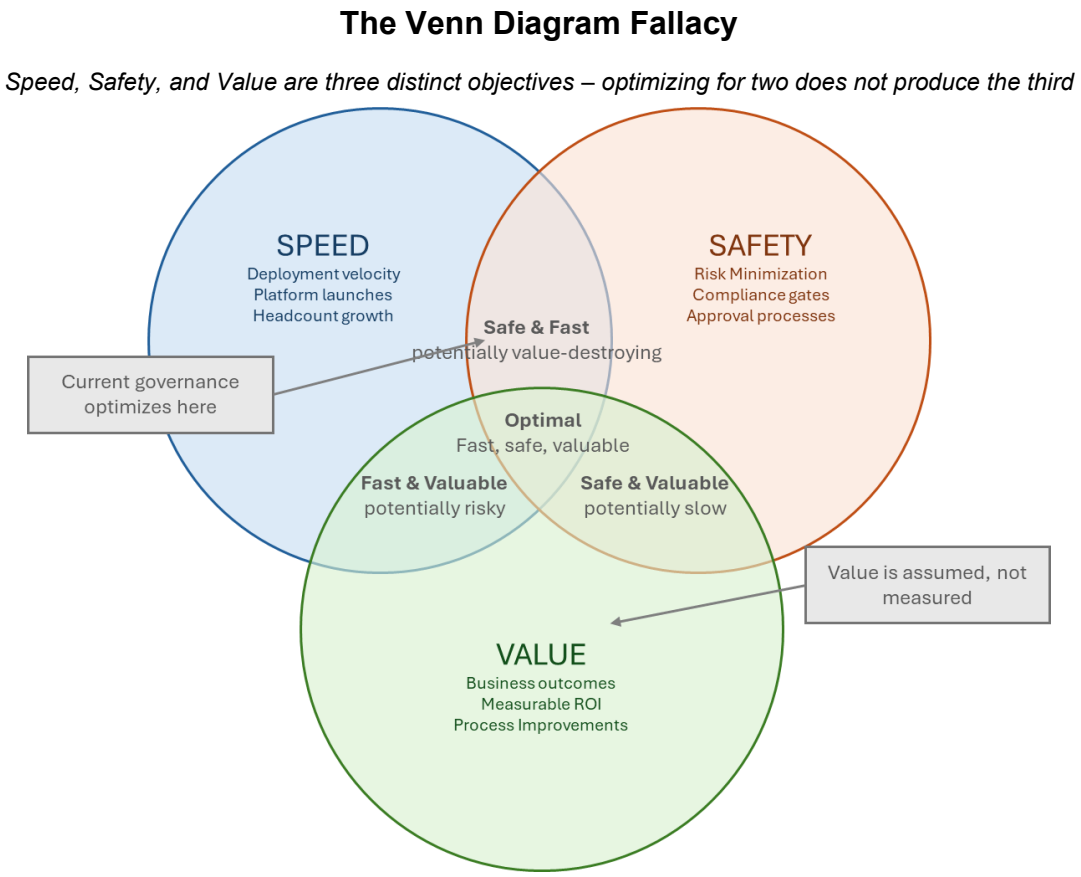

Figure 1. The current enterprise AI governance model treats Speed and Safety as proxies for Value. They are not.

The Cost Structure Problem

Infrastructure capture produces a characteristic pattern of cost inflation. First, headcount bloat—AI teams grow rapidly with expensive technical specialists whose skills are oriented toward building infrastructure rather than understanding business processes. Second, professional services dependency—infrastructure-oriented teams lack business domain expertise, leading to heavy reliance on external consultants whose solutions are optimized for the consulting firm's platform preferences rather than the organization's business needs. Third, platform over-engineering—the platform becomes the strategy, rather than the strategy driving platform decisions.

Fourth, and perhaps most consequentially, development velocity mismatch. AI enables rapid prototyping and deployment at speeds that traditional IT governance structures cannot accommodate. Custom AI solutions now routinely move from concept to production in four to eight weeks. A business analyst with Salesforce Einstein Prompt Builder expertise can move quality automation into production far more quickly than the dedicated development teams typically assembled under IT governance. That is the

entire purpose of low-code and no-code AI tools—development is democratized. In infrastructure-captured environments, IT often constrains these tools to operate far below their designed capabilities.

When the sanctioned path to AI deployment takes months and the unsanctioned path takes minutes, rational actors choose the unsanctioned path. Shadow AI is not a cause of governance failure. It is a symptom of velocity mismatch—and velocity mismatch is a structural consequence of infrastructure capture.

Toward a Resolution

The governance model this paper advocates is structurally simple. Business units own strategic governance—what to build, in what order, measured against which outcomes. IT provides process governance—how to build it, with what architecture, at what cost. Responsible AI owns compliance governance—is this legal, compliant, and within acceptable risk. And value governance—the ongoing measurement of whether deployments deliver expected business outcomes at transparent, fully loaded cost—spans all three functions as a continuous accountability discipline.

In practice: business prioritizes by value. IT assesses execution approach, timeline, and cost—transparently, including development and ongoing maintenance. RAI evaluates compliance. After deployment, business measures value delivery against projections, IT reports fully loaded costs visible to all stakeholders, and RAI monitors ongoing compliance. Each function governs its domain. Nobody governs someone else's.

This is not theoretical. DBS Bank reorganized around 33 platforms, each jointly led by a business leader and a technology leader sharing the same KPIs. The result: over 1,500 AI models in production, approximately $768 million in AI-driven revenue contribution in 2025, and model development timelines compressed from 18 months to two or three months—not by bypassing governance, but by making governance a design principle rather than a deployment obstacle. IBM's "fusion teams" pair business domain experts with CIO technologists and certify anyone to build with AI through an "AI license to drive"—regardless of where they sit on the org chart.

The Ownership Question

The most common objection to business-owned AI strategy is that business units lack technical judgment. This conflates strategic ownership with technical execution. Business ownership does not mean business teams build AI systems without technical support. It means they define what problems to solve, how to measure success, and whether the results justify the investment. This is how well-run companies already operate in every other domain. Marketing sets brand strategy; agencies execute. Product defines the roadmap; engineering builds it.

Business-owned governance includes IT at the table—as essential partners in execution and infrastructure. IT-owned governance tends to exclude business from strategic decisions. One builds a bridge between domain expertise and technical capability. The other builds a moat that protects infrastructure department interests. When prompt-writing skills become as ubiquitous as the ability to build an Excel pivot table—and we are approaching that threshold now—IT's essential contribution narrows to what it has always done best: integrating APIs, managing data access, and maintaining the infrastructure that business-built solutions run on. That is a genuinely important enabling function. It is not a strategic governance function.

The CIOs and IT leaders executing this capture are not villains. They are behaving rationally within incentive structures that reward infrastructure expansion and risk minimization. The problem is structural, and the solution must be structural: intentional governance design that places AI strategy ownership where it belongs—with the business functions accountable for the outcomes AI is meant to produce.

The web ownership wars taught us this lesson. We paid for it with years of lost competitive advantage. The same lesson is being taught again with AI, at greater scale and higher cost. The organizations that recognize the pattern now will compound years of advantage. The organizations that wait will pay the same tuition their predecessors paid—and in a faster-moving landscape, the price will be higher.

Pat Brenner is a senior leader in digital transformation, AI-enabled operations, and enterprise customer engagement. Pat has extensive experience guiding regulated organizations through technology adoption at scale, with a focus on balancing productivity, risk, and human-centered design. The full paper, including composite case studies, empirical data analysis, and a four-form governance taxonomy, is available at earthoffice.net.

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